



Flagstar Bank Tax Transcript Requirements

TAX TRANSCRIPT REQUIREMENTS

All Non-Delegated Correspondents and Brokers will be required to provide tax transcripts from a third-party vendor as follows:

CONVENTIONAL

A fully executed IRS Form 4506-C must be included in all loan files.

Tax transcripts are required as follows:

- If required on a specific product or a concurrent Flagstar secondary lien product (e.g. Second Mortgages, Helocs) per the product description.
- A copy of tax transcripts confirming "No Transcripts Available" may be required when a copy of IRS Form 4868 (Application for Automatic Extension of Time to file U.S. Individual Income Tax Returns) is provided in lieu of the most recent tax year filing returns. (See Conventional Guides for applicable application and Note date requirements)

NON-AGENCY

A fully executed IRS Form 4506-C must be included in all loan files **except the Advantage Bank Statement product**.

Tax transcripts are required when the following income types used for qualification (number of years of transcripts is based on the applicable number of years required and/or provided):

- Self-Employment
- Rental Income documented on Schedule E
- Employed by family
- When tax returns are utilized to determine qualifying income and/or in lieu of alternative documentation options when applicable
- Hand written income documentation.

Note: For Advantage Bank Statement Product only, Doc 5435, full tax transcripts cannot be provided. See product for additional details when a W-2 or 1099 transcript may be required.

STANDALONE HELOC

Tax Transcript results are required for the applicable years when tax returns are used to document qualifying income.

GOVERNMENT

Unless the loan is a VA Interest Rate Reduction Refinance Loan (IRRRL) or FHA non-credit qualifying streamline refinance, results for one year are required, or the most recent two years if required per AUS finding. In order to determine the percentage by which non-taxable income may be grossed up, 4506-C results are required for borrowers who receive non-taxable income.

OVERLAYS

4506-C

- A fully executed IRS Form 4506-C must be included in all loan files.
- 1040 transcripts are required for the following income types:
 - Self-employed
 - Rental income documented on Schedule E



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- Employed by family
- In lieu of alternative documentation options, when tax returns are utilized to determine qualifying income

USDA

Results for the most recent two years are required for all household members.

VIRGIN ISLANDS

For individuals residing and filing in the Virgin Islands, requests must be manually processed through underwriting when using Flagstar Bank Network and may result in additional time for receipt of results.

Note: Borrower obtained tax-transcripts are not considered an eligible third-party source to validate the tax returns.

Flagstar reserves the right to request tax transcripts beyond the instances listed above in the event there are additional loan level red flags.

FLAGSTAR PREFERRED VENDOR

Equifax is the preferred vendor for the Flagstar Bank Network (FSBN). While customers are not required to, they may establish access and utilize this service through theworknumber.com to obtain tax transcripts.

For questions regarding new accounts for the Flagstar Bank Network, or contracting additional services, please contact Equifax via member.network@equifax.com. Please include your seller ID and copy your account executive on the email.

EQUIFAX CUSTOMER SERVICE:

Equifax Verification Support

877-442-9963

VerifierSolutionsSupport@Equifax.com